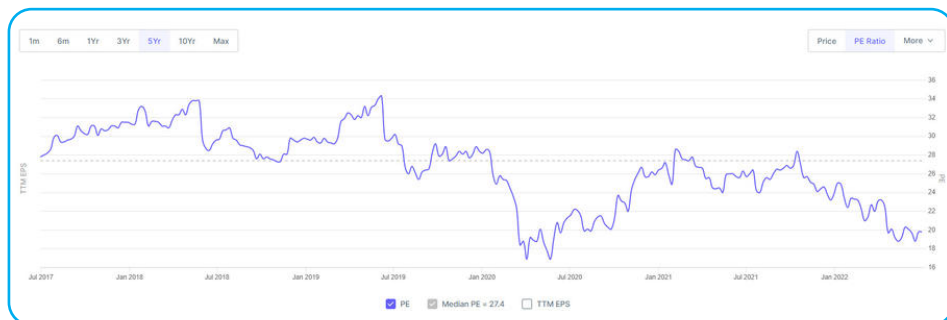


2.4 Valuation Bands

Ratios tend to move in a certain range.

They go up and down depending on the market sentiments. However, they tend to stay within a range.

These are Valuation Bands.



Source: screener.in

The P/E ratio will increase when the market has positive sentiment and decline in case of negative sentiments.

Since the market was dominated by pessimistic sentiments due to COVID-19 and recovered quickly as well. Earnings were not immediately affected as dramatically as the market prices. We observe that the company's P/E has fluctuated between 20 to 32 over the past 5 years including the COVID years as well.

“The Valuation Band is used for this. A company is said to be relatively expensive when it is on the higher side of the band, and comparatively cheaper when it is on the lower side of the band. Valuation bands help us avoid overpaying for stocks and stay disciplined when the market is in bull run.”

When does a Valuation Band **not** Work?

- When a company changes its business fundamentally. For instance when Reliance expanded from an oil and gas company to a consumer-facing, technology-oriented company (JIO) company, leaving previous bands obsolete.
- The company might undergo P/E re-rating where valuation band itself due to change in quality of business.
- A major headwind or tailwind affecting the business: Any good news or bad news related to the company impacts the real value.
- Major Corporate Event: Divestitures/Acquisitions, mergers etc leave the band irrelevant.